

quotations on a long list of the more active unlisted securities of interest to stockholders in that locality. These are compiled by close contact with the over-the-counter houses most active in trading each of these securities.

Unlike those furnished by the stock exchanges, these quotations are not the price ranges within which transactions took place. They cannot be, for there is no central clearing house to which transactions are reported. Instead these are bid-and-ask quotations. Such quotations supposedly give the highest price at which any of the interested financial houses will bid for each of these shares and the lowest offering price at which they will sell them.

Close checking will nearly always show that the reported quotations on the bid or buy side are closely in line with what could be obtained for shares at the moment the quotation was furnished. The sales or ask side is usually higher than the bid by an amount several times greater than the equivalent stock exchange commission for shares selling at the same price. This difference is calculated to enable the over-the-counter house to buy at the bid price, pay its salesmen an appropriate commission for the time spent in selling the security, and still leave a reasonable profit after allowing for general overhead. On the other hand, if a customer, particularly a large customer, approaches the same financial house with a bid to buy this stock so that no salesman's commission is involved, he can usually buy it at the bid price plus just about the equivalent of the stock exchange commission. As one over-the-counter dealer expressed it, "We have one market on the buy side. On the selling side we have two. We have a retail and a wholesale market, depending partly on the size of the purchase and partly on the amount of selling and servicing that is involved."

This system in the hands of an unscrupulous dealer is subject to obvious abuse. So is any other system. But if the investor picks the over-the-counter dealer with the same care he should employ in choosing any other specialist to serve him, it works surprisingly well. The average investor has neither the time nor the ability to select his own securities. Through the close supervision dealers give the securities they permit their salesmen to offer, he is receiving in effect something closely resembling investment counsel. As such it should be worth the cost involved.

From the standpoint of the more sophisticated investor, however, the real benefits of this system are not in regard to buying. They are in regard to the increased liquidity or marketability which it produces for those unlisted